

NORWAY 2013

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

In Norway, the unemployment insurance scheme is part of the National Insurance Scheme (NIS). Unemployment benefits are calculated as a percentage of previous earnings, and are taxable. The benefit period is limited to 2 years. Social economic assistance may be granted to the individual and may cover all housing costs. In most cases, the tax unit is the individual.

A crucial factor in calculating the benefits is the "basic amount" (G). The basic amount is NOK 85 245 from 1 May 2013. Even though the year's average G is not equal to G per 1 May, we use NOK 85 245 throughout this survey.

1.1. Average Worker wage (AW)

The national currency is the Kroner (NOK). In 2013 the Average Worker wage is NOK 524 177 (Secretariat estimate).

2. Unemployment insurance

All persons who are either resident or working as employees in Norway are compulsorily insured under the National Insurance Scheme. Daily cash benefits during unemployment partially compensate loss of income due to unemployment.

The insured person must be a bona fide applicant for work (genuine job-seeker), i.e. capable of working and registered as an applicant with the labour and welfare service. He or she must also, at short notice and in any part of Norway, be available for any type of part- or full-time work or labour market measure that he/she is physically and mentally capable of doing.

The person concerned may be entitled to unemployment benefits even if he or she does not fully meet the availability requirement due to circumstances such as age, health or work of caring nature.

If a person is considered to be unemployed by his or her own choice, i.e. if he or she has given notice voluntarily, refused to take a suitable job, refused to participate in labour market measures, a prolonged waiting period may be imposed, or benefits may temporarily be suspended.

2.1 Conditions for receipt

A precondition for entitlement to daily cash benefits during unemployment is that the person concerned must have had an income from work of at least 1.5 times the basic amount (NOK 127 868 in 2013) the preceding calendar year or an income from work which at least equals 3 times the basic amount as an average during the three preceding calendar years (NOK 255 735 in 2013). The maximal benefit basis is 6 times the basic amount (NOK 511 470 in 2013). Income from participation in labour market measures does not qualify.

2.1.1 Employment conditions

The unemployed needs to be "willing to take ... any employment ... anywhere in Norway". "Suitable" employment is offered if possible, but what is considered suitable may change in the course of a long unemployment spell. Furthermore, high regional mobility is required of jobseekers. "If warranted by age or other important social considerations related to health, responsibility for caring for small children or persons in the immediate family in need of nursing care, the member may be regarded as a "bona fide job

seeker” (genuine job-seeker) even if he or she is applying for part-time work or is only seeking employment within a limited geographical area.

2.1.2 *Contribution conditions*

Member of the National Insurance Scheme i.e. all persons who are either resident or working as employees in Norway. The Scheme is funded by taxes and the National Budget.

2.2 *Calculation of benefit amount*

The calculation of daily cash benefits is based on income from work, daily cash benefits during unemployment, sickness, maternity and adoption. The calculation basis is the highest of either the income of the last preceding calendar year or the average over the last three preceding calendar years.

2.2.1 *Calculation of gross benefit*

The benefit rate per day is 0.24 per cent of the calculation basis and is paid five days a week. This will normally give an annual compensation of 62.4 per cent of the calculation basis. The maximal benefit basis is 6 times the basic amount (NOK 511 470 in 2013). The maximum amount per week thus is NOK 5 913.

A supplement of NOK 17 per day (NOK 85 per week) is granted for each dependent child under the age of 18.

Persons who have received unemployment benefits for more than eight weeks in the preceding year are given a holiday supplement of 9.5 per cent of unemployment benefits received in the preceding year.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Daily cash benefits are related to the reduction in working hours per week. Working hours must have been reduced by at least 50 per cent as compared to previous working hours.

2.3 *Tax treatment of benefit and interaction with other benefits*

Taxable as personal income, see section 10.1.2.

2.4 *Benefit duration and waiting periods*

Unemployment benefit is payable for five days a week and is granted if the person concerned has been unemployed three of the last fifteen working days while being registered at the employment office as a bona-fide applicant for work.

The benefit period varies depending on earlier income from work. Income from work amounting to at least twice the basic amount (NOK 170 490 in 2013) gives a benefit period of 104 weeks. Income amounting to less than twice the basic amount gives a period of 52 weeks.

When the initial period expires, a subsequent benefit period may only be granted provided that the requirement concerning previous income from work and reduction of working hours is met (see section 2.1 and 2.2.2). If the person concerned lacks other income or benefits, he or she is entitled to social assistance.

Reference date for all information is **July 1st 2013**

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2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No special treatment.

2.5.2 *Older workers*

No special treatment .

2.5.3 *Others if applicable*

3. *Unemployment assistance*

No special benefit.

4. Social assistance

Social Economic Assistance (SEA) is complementary to all other subsistence allowances and is provided as a last resort assistance (safety net). Municipalities are responsible for providing SEA.

There is no age condition. In practice, however, allowance is seldom given individually to children under 18 years of age due to the parents' responsibility for fostering their children according to the Children Act. Benefit amount varies due to the type of household/ family and the age of dependent children, see 4.2 below.

4.1 Conditions for receipt

SEA is a means-tested benefit. Only residents in Norway are entitled to SEA. The assistance may be conditional. As a basic guideline, the conditions cannot be an unreasonable burden to the claimant. The terms have to be linked to the claimant's need for help, and have the purpose of making him or her self-reliant.

Examples of conditions: if unemployed, the claimant must register as a job-seeker at the local welfare administration (NAV office) and actively search for a job, participate in labour market training courses, participate in a qualification programme etc. Another requirement may be that the claimant has to work for the municipality.

The consequence if the beneficiary does not comply with the conditions is not regulated by law. In principle, the benefit is to be withdrawn, partially or completely.

The SEA is a "top-up" benefit. The SEA may be granted in addition to all forms of income and income support: salary from work, benefits from the National Insurance Scheme (unemployment benefit, disability benefits, old age pension etc.), the Family Allowance Scheme and the Scheme for Cash Benefit for Families with Small Children, Housing allowances provided by the Housing Support Scheme etc.

In 2010, 37 per cent of the recipients of SEA received this benefit in addition to benefits from the National Insurance Scheme (Statistics Norway). Compared to all persons receiving a national insurance benefit the number of beneficiaries receiving supplementary SEA is however relatively low.

4.2 Calculation of benefit amount

The benefit unit is always the individual, but the resource unit is the dependent family. SEA is granted according to the local social workers' discretion. The Ministry of Labour sets governmental guidelines on reasonable amounts for subsistence allowance. The guidelines are adjusted in accordance with the rise in consumer prices with 1.9 percent in 2013. The municipalities also set local guidelines. In this report, the data for subsistence allowance is based on the governmental guidelines, while the housing allowance data is based on the guidelines of the municipality of Trondheim.

4.2.1 Calculation of gross benefit

Guidelines for subsistence allowance

Household type; NOK/month	2013
Single person	5 500
Couples (married or cohabitating)	9 100
Cohabitating, single person benefit	4 550
Children 0-5 yrs.	2 100
Children 6-10 yrs.	2 800

Children 11-17 yrs. 3 500

Guidelines for housing benefit (excl. heating/electricity)¹

NOK/month	2013
Youth under 25 yrs. (single rooms, shared flats)	3 970
Single person over 25 yrs, no children (single-room flat)	4 990
Couple (married or cohabitating), no children (two-room flat)	6 810
Any household, one child (two-room flat)	6 810
Any household with two small children or one older child (three-room flat)	8 510
Any household with three or four children (four-room flat)	11 000

Estimated heating/electricity expenses per household (NOK/year)

Estimated heating/electricity expenses as a function of household income (NOK/year)	2012
Less than 200 000	10 860
200 000 - 299 999	14 568

(2012-figures).

Source: Survey of Consumer Expenditure 2006-2008, Statistics Norway.

4.2.1.1 Irregular additional payments

The guidelines for subsistence allowance include the most ordinary expenses in daily life: food and drink, clothing and shoes, hygienic articles, licence for television, daily newspaper, phoning expenses, expenses related to participation in leisure activities and transportation costs. Housing costs, heating/electricity, housing insurance, furniture etc., are not included but are to be considered on a concrete and individual basis. Some municipalities, among others the municipality of Trondheim, have guidelines for housing benefit. More extraordinary expenses, such as expenses related to medical assistance, dental treatment, prescription drugs, day care for children, celebrations etc., are furthermore not included in the uniform standards. Such expenses must be evaluated dependent on the specific needs of the claimant, and vary from person to person. It is not possible to indicate amounts or timing of such expenses, since these expenses vary in each individual case.

4.2.1.2 Obligations of family members

Conditions may be set for every beneficiary of SEA, as well as the spouse or other dependent family members of the benefit claimant. See examples of conditions in section 4.1.

4.2.2 Income and earnings disregards for benefit recipients and those starting a new job

SEA is withdrawn 100 per cent against all income and income support: salary from work, benefits from the National Insurance Scheme (unemployment benefit, disability benefits, old age pension etc.), the

¹ For beneficiaries of social economic assistance, the housing benefit is generally set and provided by the municipality. In the event that a beneficiary of social economic assistance is also eligible for the governmental housing benefit (as described in the Housing Benefits section), the governmental benefit is included in the above (municipal) amounts. This follows from the fact that social economic assistance is a subsidiary benefit.

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Family Allowance Scheme and the Scheme for Cash Benefit for Families with Small Children, Housing allowances provided by the Housing Support Scheme etc.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

4.4 *Benefit duration and waiting periods*

It is intended for temporary relief only, but currently not subject to any binding time limitation. Benefit duration varies due to differences in individual needs. Recipients can re-apply for benefits once the benefit period has expired.

In 2012, social assistance recipients received benefits for 5.1 months on average. 37 percent of the recipients received social assistance for 6 months or longer during 2012 (Statistics Norway).

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

Participation in labour market programmes is usually required.

4.5.2 *Older workers*

Not applicable.

4.5.3 *Others if applicable*

Not applicable.

5. Housing benefits

The state housing allowance aims to secure those who have a combination of high housing costs and low income a reasonable accommodation. The allowance is offered to people living in rented and owner occupied accommodation. The benefit depends on the household's total economic resources and housing costs.

In 2013 the budget appropriation for the state housing allowance is NOK 2 970 million. In the month of September 2013 a total of 110 400 households received NOK 231.7 million in housing allowance. In average per household the allowance is NOK 2 100 and the housing expenses NOK 6 599 a month. The average income of the households is NOK 142 779 a year.

5.1 Conditions for receipt

The following groups were eligible for housing allowances in 2013:

- The applicant must be 18 years of age or more and inscribed in the Norwegian national register and legally living in Norway. Exceptions are students and people serving the military, who have their own systems for housing support.
- If there are children under the age of 18 in the household, the applicant can also be under 18 years of age or a student.
- The habitation must be approved for all year use, be separate with a separate entrance, offer possibilities for resting and cooking and have separate bath and toilet.

Maximum income per year for eligible households (private accommodation):

- Oslo (maximum):
 - For households with one person: NOK 217 800
 - For households with two persons: NOK 244 200
 - For households with three persons: NOK 271 500
 - For households with four persons: NOK 300 200
 - For households with five persons: NOK 329 000
- The rest of the country:
 - For households with one person: NOK 194 000
 - For households with two persons: NOK 218 900
 - For households with three persons: NOK 244 800
 - For households with four persons: NOK 271 700
 - For households with five persons: NOK 299 000

Between “Oslo” and “the rest of the country” there are 14 larger cities and municipalities surrounding the larger cities with high housing costs, where the limits of maximum income are in the range between

Oslo and the rest of the country. For people living in municipal housing and for young disabled pensioners the maximum income is slightly higher.

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of benefit amount*

For private housing the housing allowance is calculated as 70 per cent of the difference between the housing expenses and a "own expense". For public, rented housing provided by the municipality this rate is 80 per cent.

$$\text{Housing allowance} = 0.7 \text{ (or } 0.8) * (\text{housing expenses} - \text{own expense}).$$

The own expense is calculated on the basis of taxed income and fortune. 16 per cent of the fortune which exceeds a free amount is added to the income. For renters the free amount is NOK 250 000. For homeowners the free amount is the taxed fortune of the home up to a maximum of NOK 500 000.

The income is corrected by the number of persons living in the household. This is done by dividing the income of the household by the sum of weights of the persons living there. The weight of the first person is one and the others have the weight 0.1.

There is a minimum housing expense of NOK 18 800 a year. For calculated incomes less than NOK 90 000 a year the own expense is equal to the minimum expense. For incomes more than NOK 90 000, 17 per cent of the income which exceeds NOK 90 000 is added to the minimum expense. For incomes more than NOK 161 000 an extra progressive part is added. It is calculated out of the total income. The rate starts at 0.003 for incomes more than NOK 161 000, and is growing by an extra 0.003 per every increase of NOK 1 000 in the income.

The maximum housing expenses, accepted for the purpose of calculating the housing allowance, are given in the table below. Between "Oslo" and "the rest of the country" there are 14 cities and municipalities where the limits of maximum housing expenses are in the range between Oslo and the rest of the country.

Number of persons in the household	Maximum housing expenses accepted/year (NOK)	
	Oslo	Rest of the country
One	83 000	61 000
Two	87 500	65 500
Three	92 000	70 000
Four	96 500	74 500
Five or more	101 000	79 000

An example of the calculation of the housing allowance can be a family of four living in a private, rented dwelling in Oslo. The taxed income of all the members of the household is NOK 200 000 a year, the taxed net fortune is NOK 220 000 and the housing expenses are NOK 150 000 a year.

The calculated income will be NOK 153 846, given by $(\text{NOK } 200\,000 \text{ (income)} + ((\text{NOK } 220\,000 - 250\,000) * 0.16) \text{ (fortune)}) / (1 + 0.1 + 0.1 + 0.1) \text{ (personal weights)}$

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The own expense will be NOK 29 654, given by $\text{NOK } 18\,800 \text{ (minimum expense)} + ((\text{NOK } 153\,846 - 90\,000) \times 0.17)$.

The accepted housing expenses will be NOK 96 500, which is the maximum accepted expenses in Oslo for a family of four.

And finally the housing allowance will be NOK 46 792 a year, given by $\text{NOK } 96\,500 \text{ (housing expenses)} - \text{NOK } 29\,654 \text{ (own expense)} \times 0.7$.

5.2.2 *Income and earnings disregards*

The most recent taxed income and fortune of the household is normally used for the calculation of the allowance. If the current income/fortune differs substantially from the most recent taxation, current income/fortune will be used to calculate the allowance. Social assistance and family allowances are not included in the income.

5.2.3 *Costs eligible for housing benefits*

See the above table.

5.3 ***Tax treatment of benefit and interaction with other benefits***

Housing benefits are non-taxable.

5.4 ***Treatment of particular groups***

For pensioners with major disabilities, acknowledged before the age of twenty-four, the housing allowance is calculated more favourably. Physically disabled persons who can document higher housing costs connected to their handicap, are accepted higher housing costs by NOK 4 500 a year.

6. Family benefits

Child benefit is the most important social security benefit for families with children.

6.1 Conditions for receipt

Child benefit is paid only to families with dependent children. Each child under the age of 18 qualifies.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The benefit is NOK 11 640 per dependent child per year.

An annual supplement of NOK 3 840 per child is granted for children living on Svalbard, in the county of Finnmark or in certain municipalities in the county of North Troms.

6.2.1.1 Irregular additional payments

None.

6.2.2 Income and earnings disregards

None.

6.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

6.4 Treatment of particular groups

6.4.1 Young persons

None.

6.4.2 Older workers

None.

6.4.3 Others if applicable

Lone parents are entitled to child benefit for one child more than they actually have (additional child benefit). This constitutes an annual supplement of NOK 11 640. The entitlement to additional child benefit expires if the lone parent gets married, has a child with a cohabitant or has lived in a marriage-like relationship in a joint household for at least 12 of the last 18 months.

An annual supplement of NOK 7 920 is granted for lone parents entitled to full transitional benefit (see section 9.2.1), independent of the actual number of children, as long as at least one child is younger than three years old.

7. Childcare for pre-school children

Approximately 90 per cent of children aged 1-5 years had a place in ordinary kindergarten or family kindergarten in 2012. Of these, approximately 98 per cent had a place in ordinary kindergarten and about 2.8 per cent in family kindergarten. In addition 5 316 children attended open kindergarten. For children aged 1-2 years the kindergarten coverage is 80.2 per cent, while for children aged 3-5 years the kindergarten coverage is 96.6 per cent. Compulsory schooling starts at six.

7.1 Out-of-pocket childcare fees paid by parents

7.1.1 Full-time childcare

The upper limit on childcare fees paid by parents was NOK 2 330 per month in 2013. In addition there are discounts for siblings, these amounts to a minimum of 30 per cent for the second child and 50 per cent for the third and fourth child and so forth. Parents can also receive further discounts depending on their income level.

Sample survey (covering 109 of the municipalities in the country) Source: Statistics Norway

Due to great differences in the payment systems among the municipalities the fees for children aged three or more are collected corresponding to a household total gross income of NOK 250 000, 375 000 and 500 000 . From 2007 onwards, the yearly payment figures are based on data from all municipalities.

	Annual payment, including food and additional costs (of January each year)			
Year	One child, income level in NOK			
Ceiling	100000 (minimum fee)	250000	375000	500000(maximum fee)
2001	23 163	30 809	33 671	34 627
2002	23 518	29 696	34 625	35 535
2003		28 965	33 666	34 646
2004		26 648	30 731	31 529
2005		26 746	30 395	30 923
2006		23 076	25 129	25 742
2007		23 348	25 743	26 338
2008		24 923	26 574	26 919
2009		24 427	26 054	26 629
2010		24 768	26 321	26 816
2011		25 225	26 659	27 105
2012		25 704	27 017	27 405
2013		25 585	27 487	27 787

The table shows average annual fees for a full-time place (41 hours per week or more) in ordinary kindergarten or family kindergarten for households in different income groups. Open kindergarten is usually free of charge.

A typical annual fee for parents with a combined income of NOK 500 000 and two children in kindergarten when taking into account the sibling discount is NOK 47 123.

If the family can document child-care expenses for children younger than 12 years, the couple will get a deduction in ordinary income up to NOK 25 000 for one child and, from 2008, an addition of NOK 15 000 for each subsequent child. E.g. the maximum parent allowance for documented childcare costs for four children is NOK 70 000.

The allowance is divided equally between spouses, or cohabitants, unless otherwise agreed. Unused parent allowance one year cannot be carried forward to a future year. The allowance also applies to single parents.

7.1.2 Part-time childcare

Parents can choose part time child care. Around 10 percent of children in kindergarten have an agreed part time under 41 hours per week. Average parental fee for short part time (under 25 hour per week) was in 2010 NOK 1 360 in average per month (app. 175 EUR), and NOK 1 860 (240 EUR) per month in average for long part time (25-40 hour per week) (Source: Hossein, M and Bjoerkli S.E (2011): Barnefamiliers tilsynsordninger, høsten 2010. SSB Rapportør 34/2011). Child-care benefits are paid for the youngest children, if the child does not have a place in a kindergarten (see below).

7.2 Child-care benefits (the cash benefit scheme)

For one-year old children who are not in a kindergarten that receives a public grant, the parents receive a non-taxable cash amount. For children aged 13 – 18 months the monthly pay is NOK 5000, and for children aged 19 – 23 months the monthly pay is NOK 3 303. If the child attends a kindergarten (that receives a public grant) for less than 20 hours a week, the parents are entitled to receive 50 per cent of the cash benefit.

7.2.1 Conditions for receipt

The benefit is paid for children aged 1 who are not in a kindergarten that receives a public grant, or only have a part-time use of a kindergarten.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

The benefit is NOK 5 000 per child per month for children aged 13-18 months and NOK 3 303 per month for children aged 19-23 months when the child is not in a kindergarten that receives a public grant. For part-time use of kindergarten (that receives a public grant) of under 20 hours a week, the parents receive 50 per cent of the cash benefit, which amounts to NOK 2 500 per month for the youngest one-year-olds and NOK 1 652 per month for the oldest one-year-olds. The cash benefit ceases the month in which the child turns two years old.

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7.2.2.2 *Income and earnings disregards*

None.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

7.2.4 *Treatment of particular groups*

None.

8. Employment-conditional benefits

None.

8.1 Conditions for receipt

8.2 Calculation of benefit amount

8.2.1 *Calculation of gross benefit*

8.3 Tax treatment of benefit and interaction with other benefits

8.4 Benefit duration

8.5 Treatment of particular group

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

[e.g. lone parents, immigrants, part-time employees, self-employed, sick or disabled]

9. Lone-parent benefits

Lone parents are entitled to National Insurance Scheme benefits: Transitional allowance, education benefits, mobility allowance, and, when required due to professional or educational qualification activities, a supplementary child care benefit.

9.1 Conditions for receipt

Lone parents are entitled to benefits if unmarried, divorced or separated and not living together with a person who is not the child's/children's other parent. A benefit is not granted if the single parent has had a cohabitant during 12 of the last 18 months.

After the child is one year old it is normally required that the beneficiary participates in vocational activity; e.g. employment or education which constitutes at least half of the full-time, establish their own business, or register as job-seeker.

As a general rule, transitional benefit may be granted until the youngest child attains the age of 8, but not for more than a total of 3 years after the youngest child is born. While undergoing education the benefit period may be prolonged by two years. If the beneficiary has sole care for more than two children, or become a single parent before attaining the age of 18, the benefit period can be prolonged by three years. A beneficiary who has already received one full three-year period of benefit are given benefit until the child reaches the age for the legal right to child-care when becoming a lone parent for the second time.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

Full transitional benefit is equivalent to 2 times the basic amount (see section 1 above), that is, NOK 170 490 in 2013, reduced by 40 per cent of wage and unemployment insurance exceeding one half of the basic amount, that is, NOK 42 623 in 2013.

The child care benefit amounts to 64 per cent of documented expenses up to these maximum benefit levels in 2012. If the single parent has income above 6 G (NOK 511 470 in 2013), there is no benefit granted at all. Childcare benefit may be granted up to and including the fourth school year, but can in certain cases be granted for a longer period.

Maximum child care benefit per year for lone parents in 2013:

- One child NOK 43 812.
- Two children NOK 57 168.
- At least three children NOK 64 776.

9.2.1.1 Irregular additional payments

Advance payments of child maintenance

The conditions for receiving advance payments are that the child

- is under the age of 18
- stays and resides in Norway
- does not live together with both parents,

and the collon of child maintenance is managed by the Norwegian Collection Agency.

Advance payment of child maintenance is auxiliary to the absent parent's obligation to provide for her/his child. Advance payment of child maintenance is therefore made only in respect of months in which maintenance from the non-custodial parent is not paid or is paid too late. However, if the amount stipulated as support from the non-custodial parent is lower than the advance payment, the difference is always paid.

Even if child maintenance has not been stipulated, advance payments are made when

- this is due to the non-custodial parent's lacking financial ability to pay support
- paternity has not been established
- the child has been adopted by a single adoptive parent
- one of the parents is dead and the child is not entitled to a child pension from the social security system or an equivalent benefit from another state.

Before October 1st 2003, advance payments of child maintenance were made at a single rate per child regardless of financial circumstances etc. The monthly rates per child were:

As from 01.01.2001	<i>NOK 1 160</i>
As from 01.06 2002	<i>NOK 1 180</i>
As from 01.06 2003	<i>NOK 1 240</i>

From October 1st 2003 advance payments of child maintenance are income-tested with reference to the recipient's income. In this context income means income from gainful occupation, extra child allowance for single supporters and cash benefit paid in cases choosing other care solutions than a kindergarten ("kontantstøtte").

The income-testing means that advance payments are made with 100, 75 or 50 per cent of the full amount, or are not made at all. The maximum income for being entitled to receive advance payments, and the limit for receiving full advance payments, are both fixed amounts which apply regardless of whether the recipient is a single supporter or has a spouse/partner and regardless of the number of own children in her/his own household.

On 1 May 2011 several amendments were introduced, the most important of which was a considerable increase of the income limit for receiving advance payments at maximum rate. Also, the former 75 per cent rate became "advance payment" (the normal/standard rate), and the former 100 and 50 per cent rates became respectively "increased advance payment" and "reduced advance payment".

Applicable income limits for receiving the maximum rate and for being entitled to advance payments during the period in question have been:

Period	Limit for receiving the maximum rate	Limit for being entitled to advance payments
As from 01.10.2003	<i>NOK 125 000</i>	<i>NOK 396 800</i>
As from 01.01.2004	<i>NOK 128 000</i>	<i>NOK 396 800</i>
As from 01.05.2004	<i>NOK 128 400</i>	<i>NOK 396 800</i>
As from 01.06.2004	<i>NOK 128 400</i>	<i>NOK 390 400</i>
As from 01.05.2005	<i>NOK 131 900</i>	<i>NOK 390 400</i>
As from 01.07.2005	<i>NOK 131 900</i>	<i>NOK 393 600</i>
As from 01.05.2006	<i>NOK 136 000</i>	<i>NOK 393 600</i>
As from 01.07.2006	<i>NOK 136 000</i>	<i>NOK 400 000</i>
As from 01.05.2007	<i>NOK 143 200</i>	<i>NOK 400 000</i>
As from 01.07.2007	<i>NOK 143 200</i>	<i>NOK 406 400</i>

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As from 01.05.2008	NOK 158 000	NOK 406 400
As from 01.07.2008	NOK 158 000	NOK 422 400
As from 01.05.2009	NOK 163 200	NOK 422 400
As from 01.07.2009	NOK 163 200	NOK 432 000
As from 01.07.2010	NOK 170 900	NOK 441 600
As from 01.05.2011	NOK 217 200	NOK 441 600
As from 01.07.2011	NOK 232 000	NOK 451 200
As from 01.07.2012	NOK 232 500	NOK 457 600
As from 01.07.2013	NOK 235 100	NOK 460 800

As to the former 75 per cent rate (now simply “advance payment”), separate limits apply for single supporters and persons living with a spouse/partner. If these limits are exceeded, advance payments will be made with the reduced rate (formerly 50 per cent rate), or, if the income exceeds the limit for being entitled to advance payments, will not be paid at all. The income limits for receiving the normal advance payment rate (formerly 75 per cent rate) are determined as the rates for persons receiving advance payments for one child. The limits are increased by a fixed amount for each additional child.

During the period in question the applicable income limits for receiving advance payments with 75 per cent of the maximum rate (now “advance payment”), and the increase per additional child, have been:

Period	Limit for a person with spouse/partner	Limit for single supporters	Increased limit per additional child
As from 01.10.2003	NOK 204 000	NOK 233 100	NOK 29 200
As from 01.01.2004	NOK 208300	NOK 237 700	NOK 35 200
As from 01.06.2004	NOK 210 900	NOK 245 100	NOK 34 400
As from 01.07.2005	NOK 217 900	NOK 248 100	NOK 38 000
As from 01.07.2006	NOK 222 900	NOK 248 700	NOK 36 700
As from 01.07.2007	NOK 236 600	NOK 257 400	NOK 40 600
As from 01.07.2008	NOK 261 800	NOK 283 700	NOK 44 500
As from 01.07.2009	NOK 275 700	NOK 305 700	NOK 48 900
As from 01.07.2010	NOK 290 000	NOK 323 900	NOK 52 800
As from 01.07.2011	NOK 298 500	NOK 341 200	NOK 54 000
As from 01.07.2012	NOK 299 300	NOK 341 500	NOK 54 800
As from 01.07.2013	NOK 300 500	NOK 342 800	NOK 55 100

Payable monthly rates per child during the period have been:

Period	50 % rate	75 % rate	Full rate
As from 01.10.2003	NOK 620	NOK 930	NOK 1 240
As from 01.06.2004	NOK 610	NOK 920	NOK 1 220
As from 01.07.2005	NOK 620	NOK 920	NOK 1 230
As from 01.07.2006	NOK 630	NOK 940	NOK 1 250
As from 01.07.2007	NOK 640	NOK 950	NOK 1 270
As from 01.07.2008	NOK 660	NOK 990	NOK 1 320
As from 01.07.2009	NOK 680	NOK 1010	NOK 1 350
	Reduced rate	Normal rate	Increased rate
As from 01.05.2011	NOK 690	NOK 1040	NOK 1 380
As from 01.07.2011	NOK 710	NOK 1060	NOK 1 420
As from 01.07.2012	NOK 710	NOK 1070	NOK 1 430
As from 01.07.2013	NOK 720	NOK 1080	NOK 1 440

9.2.2 *Income and earnings disregards*

See above reduction of transitional allowance depending on age and income from unemployment insurance.

9.3 *Tax treatment of benefit and interaction with other benefits*

The transitional benefit is taxable as pension income. The childcare benefits are not subject to taxation. The childcare benefits and the mobility allowance are not subject to taxation.

9.4 *Benefit duration*

The transitional benefit is limited to a period of three years after the birth of the youngest child, but may be extended for another two years when the lone parent engages in professional qualification (in which case a contribution towards the extra cost will be added). If the beneficiary has sole care for more than two children, or become a single parent before attaining the age of 18, the benefit period can be prolonged three years. A beneficiary who has already received one full three-year period of benefit is entitled to benefit until the child reaches the age for the legal right to child-care when becoming a lone parent for the second time.

9.5 *Treatment of particular group*

None.

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. Tax system**10.1 Income tax**

The personal income tax has two tax bases: *personal income* and *ordinary income*. Personal income is defined as income from labour and pensions. Personal income is a gross income base from which no deductions are made. Ordinary income includes all types of taxable income from labour, pensions, business and capital. Certain costs and expenses, including interest paid on debt, are deductible in the computation of ordinary income.

10.1.1 Income tax schedule (central government income tax)

There are no tax allowances applicable to an AW under the central government surtax. The tax base is personal income from which no deductions are allowed.

Rate (%)	NOK
0	0 – 509 600
9.0	509 600– 828 300
12.0	828 300 and over

In addition, as part of the overall tax rate of 28 per cent on *ordinary income*, 13.75 per cent is considered to be the central government income tax.

State and local income taxes

The overall tax rate on ordinary income is 28 per cent. The local government (municipal and county) income tax is 14.25 per cent points of the overall rate. Tax on ordinary income is levied after taking into account a standard allowance of NOK 47 150 (class 1) and NOK 94 300 (class 2) in 2013.

10.1.3 Allowances and tax credits**10.1.3.1 Standard allowances in ordinary income**

The deductions in the computation of ordinary income are:

- Basic relief for wage income: each individual receives a minimum allowance equal to 40 per cent of wage income, with a minimum of NOK 4 000 and a maximum of NOK 81 300. For wage income each individual can choose a separate allowance of NOK 31 800 instead of the basic relief. Hence, wage earners would opt to choose this separate allowance as long as it exceeds the basic allowance to which they are entitled.
- Basic relief for pension income: each individual receives a minimum allowance equal to 26 per cent of pension income, with a minimum of NOK 4 000 and a maximum of NOK 68 050.
- Total basic relief for wage and pension income cannot exceed the maximum relief for wage income, that is NOK 81 300.
- Recipients of disability pensions with more than 67 per cent degree of disability are entitled to the “disability allowance” of 32 000 NOK in 2013. Persons with lower degree of disability receive half of the full disability allowance.

10.1.3.2 *Non-standard allowances in ordinary income*

The main non-standard allowances deductible from ordinary income are:

- Parent allowance: Documented expenses for child care limited to:
 - maximum NOK 25 000 for one child
 - plus NOK 15 000 for each subsequent child.

The allowance applies in general to the spouse who has the highest income. Unused parent allowance may be transferred to the other spouse. The allowance is also applicable to single parents.

- Travel expenses related to work exceeding NOK 13 950;
- Labour union fees up to NOK 3 850;
- Donations to voluntary organisations up to NOK 12 000;
- Contributions to individual pension agreement schemes, maximum NOK 15 000;
- Premiums and contributions to occupational pension schemes in the private and public sector, unlimited;
- Unlimited deduction for interest payments.
- Persons with durable (more than two years) illness or weakness who can document health care expenses (for medication, treatment or other expense due to illness) exceeding 9 180 NOK can deduct (all) such expenses from ordinary income.

10.1.3.3 *Standard tax credits*

- Recipients of old-age pensions from the National Insurance System are entitled to a pension income tax credit of 30 300 NOK in 2013. The tax credit is reduced with 15.3 per cent of total pension income above 170 750 NOK and 6.0 per cent of total pension income above 259 800 NOK.
- Recipients of *disability pension* (67 per cent or higher degree of disability) or *transitional benefit for single parents* can be taxed according to a special “tax liability limitation schedule”. According to 2013 tax rules, the tax limitation schedule sets a tax-free *net* income of NOK 127 000 for single persons and 116 700 for married persons. The net income is calculated as gross wage, pension, income from self-employment, and capital income less *basic relief*² and other deductible expenses related to earning the income. Special deductions, like the disability allowance, cannot be subtracted. In addition, a wealth supplement is added to the income base. The wealth supplement is 1.5 per cent of net wealth exceeding NOK 200 000. The value of owner-occupied housing is not included. The tax relief from the tax limitation schedule is gradually reduced by taxing income exceeding the tax-free net income with a rate of 55 per cent. At income levels where the tax limitation rule no longer provides a lower tax, the person is taxed according to the ordinary tax rules. In 2013, the tax limitation rule provides tax exemption for single persons with a gross income below NOK 171 600

² For wage income, 40 per cent of gross income, but minimum NOK 4000 and maximum NOK 81 300. For pension income, 26 per cent of gross income, but minimum NOK 4000 and maximum NOK 68 050.

(only standard deductions and allowances). The limitation rule provides lower tax up to a gross income of NOK 296 240 for a single person entitled to a full disability allowance.

10.1.3.4 *Non-standard tax credits*

- Home savings scheme (BSU): The BSU scheme aims to encourage young people (under 34 years old) to save for a future home purchase. A wastable *tax credit* of 20 per cent of annual savings up to NOK 20 000 in special accounts is granted. Total savings may not exceed NOK 150 000.

10.1.4 *Limitation on total tax payable*

None.

10.2 *Treatment of family income*

The tax unit is in most cases the individual (class 1), but joint taxation (class 2) is also possible and more favourable if one of the spouses has little or no labour income. Joint taxation means that spouses' incomes are added together and taxed jointly with a double personal allowance (NOK 90 700). Whether class 1 or 2 is more favourable, therefore depends on both spouses' incomes. Single parents are also entitled to class 2 in the sense that they are entitled to a double personal allowance. If single parents are entitled to use the special tax limitation rule, cf. paragraph 10.1.3.3, this will mostly be more favourable. As the personal allowance is not included in the tax limitation rule, single parents who are taxed according to this rule cannot at the same time be taxed according to class 2.

10.3 *Social security contributions and payroll taxes*

10.3.1 *Contributions payable by employees and benefit recipients*

Employees' contributions to the National Insurance Scheme generally amount to 7.8 per cent of personal wage income. Employees do not make contributions if their wage income is less than NOK 39 600. Once wage income exceeds this floor, an alternative calculation is made where the contributions equal 25 per cent of the wage income in excess of the floor. The actual contributions made would represent the minimum between the alternative calculation and 7.8 per cent of the total wage income.

Contributions from the self-employed are 11.0 per cent of personal income attributable to labour.

Contributions from pension income (old-age, disability and transitional benefit for single parents) are 4.7 per cent.

10.3.2 *Contributions payable by employers*

Employer's social security contributions are due for all employees in both the private and the public sector. The contribution is geographically differentiated according to the municipality where the employee resides. The standard rates are 14.1, 10.6, 7.9, 6.4, 5.1 or 0 per cent of gross wages. The highest rate applies to central parts of southern Norway. Lower rates may apply under certain circumstances. The weighted average rate is approximately 13.0 per cent (2013)

10.3.3 *Payroll taxes*

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

Any person works part time if he/she works less than the average working week for his/her own profession. To be entitled for an unemployment benefit, the person must have experienced at least a 50 per cent reduction in working time. The unemployment benefit will cover people in proportion to the days they do not work. The benefit period is the same as that for fully unemployed people.

11.2 *Special tax and social security contribution rules for part-time work*

12. Policy developments

12.1 Policy changes introduced: 2nd July 2012 – 1st July 2013

Transitional benefit for lone parents

As from 1st of January 2013 a lone parent who has already received one full three-year period of benefit is entitled to benefit for a reduced period of time when becoming a lone parent for the second time. Benefit will then be granted until the child reaches the age for the legal right to child-care. The child is then from one to two years old, depending on the date of birth.

As from 1st of January 2013, lone parents are not entitled to benefit if they voluntarily choose to quit their job, when being employed immediately before becoming a lone parent.

12.2 Future policy changes announced since 1st July 2013

Advance payment of child maintenance

As from 1 July 2014 advance payment for person receiving payments at the increased rate will be increased by 1/3 of the normal rate for each child who has reached the age of 11. The increase equals NOK 430 per child (rates as of 1 July 2013).

Transitional benefit for lone parents

Due to changes in the taxation of the transitional benefit for lone parents, a bill has been presented stating that the level of full transitional benefit for lone parents will be increased to 2,25 times the basic amount, and that the benefit should be reduced by 40 per cent of wage exceeding one half of the basic amount. These changes will be in force from the 1st of April 2014.

Tax system

From 2014 the transitional benefit for lone parents will for new recipients be taxed as wage income. For recipients of the transitional benefit, the new rules involve increased basic relief up to wage earner level, an increased contribution to the National Insurance Scheme and a discontinuation of the “tax liability limitation schedule” (cf. 10.1.3.3). The gross benefit for new recipients will be increased to compensate for the increased tax burden. Existing recipients of the transitional benefit will not be affected by the amendments.

As part of the retirement and disability pension reform, beginning from 2015 disability pension will be taxed as wage income. Equal tax treatment of disability pension and wage income intends to simplify the combination of working with receiving benefits. For recipients of disability pensions, the new rules involve increased *basic relief* up to wage earner level, an increased contribution to the National Insurance Scheme and a discontinuation of the “tax liability limitation schedule” (cf. 10.1.3.3) and the “disability allowance” (cf. 10.1.3.1). Current recipients of disability pensions will be compensated for the increased tax burden through higher gross benefits (assuming standard allowances and deductions). The exact transitional rules to the new regime will be determined at a later time.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.